

Should You Wait to Take OAS?

For Canadians who have spent part of their working lives outside Canada, when you start Old Age Security (OAS) can make a surprising difference.

Most Canadians can start OAS at age 65. But receiving the **full OAS pension generally requires 40 years of Canadian residency after age 18**. If you have fewer years, you may receive only a portion of the maximum benefit.

For example, someone with 30 years of Canadian residency would generally qualify for **30/40, or 75%, of the full OAS pension**.

What if you wait?

You can delay OAS beyond age 65. Your benefit increases by **0.6% for every month you wait—or 7.2% per year—up to age 70**.

Suppose you're 65 and have lived in Canada for 38 years. Should you wait another two years so you reach 40 years of residency?

The OAS rules don't generally allow you to double-dip by receiving both the additional residency benefit and the deferral increase for the same period. Instead, the applicable calculation generally provides the higher monthly benefit.

In the 38-year example, waiting until 67 would generally result in **38/40 of the full OAS pension, increased by 14.4%** for delaying two years.

An Interesting Break-Even Point

An additional year of Canadian residency represents **1/40, or 2.5%, of the maximum OAS pension**.

Delaying OAS, meanwhile, increases your actual entitlement by **7.2% per year**.

Because those percentages are calculated differently, the better choice isn't always obvious. A useful rule of thumb is that the crossover occurs at approximately **14 years of Canadian residency**. Above that point, the deferral increase will generally be more valuable; below it, accumulating another year of residency may produce the larger monthly pension.

What Does This Mean for You?

If you've lived outside Canada and don't have 40 years of Canadian residency, **don't automatically apply for OAS at 65**.

Before deciding, consider three things:

1. **How many years have you lived in Canada since age 18?**
2. **Would delaying OAS increase your monthly pension?**
3. **How does OAS fit with your other retirement income and potential OAS clawback?**

A relatively small decision about when to start OAS can affect your income for the rest of your life. **Sometimes, waiting pays.**

Source: Adapted and summarized from reporting by **The Globe and Mail** on the Old Age Security residency and deferral rules, including information from Employment and Social Development Canada and Paul Thorne of Sun Life Financial.

Original author: The Globe and Mail article supplied for this summary.

Illustration credit: Anthony Jenkins/The Globe and Mail.

This information is general in nature and is not intended as individualized financial, tax or legal advice. OAS rules and eligibility depend on individual circumstances.

